

BrightLearn - Business Analytics - Terminology

Research Assignment 2

1. Foundational Concepts of Analytics

01 Business Analytics - The Discipline itself

Business Analytics means using data to understand a business and help it make better decision. For example, a business can look at its sales data to see which products sell the most and decide what to stock more of.

Harvard Business review

02 Data Analytics

Data Analytics is the process of collecting, cleaning, studying, and interpreting data to find useful information and patterns.

It is often confused with Business Analytics because both use data. The main difference is that Data Analytics focuses more on understanding the data, while Business Analytics focuses on using that information to make business decisions.

Example: A data Analyst looks at sales data to find which products are selling the most. A business analyst may use those findings to decide which products the company should promote more.

Harvard Business review

03 Business Intelligence (BI)

Business Intelligence, or BI, refers to tools and methods that help businesses turn data into useful reports and insights.

For example, a company can use BI to create a dashboard showing sales, expenses, customers and profits. This helps managers quickly understand how the business is doing and make better decisions. BI helps businesses see and understand their data easily.

Harvard Business Review

04 Data-Driven Decision Making

Data-driven decision making means using facts and data to make decisions instead of relying only on guesses or feelings.

For example, a shop can look at its sales data to see which products customers buy the most, and then decide to stock more of those products. It means using data to make smarter and more informed decisions.

Google for Developers

05 Big Data

Big Data means very large amounts of data that are produced and collected quickly from different sources.

The three main features are:

- Volume - the large amount of data.
- Velocity - the speed at which data is created and processed.
- Variety - the different types of data, such as text, pictures, videos and numbers. Big Data is a lot of different data coming in very quickly.

Google for developers

06 Descriptive Analytics - What happened?

Descriptive Analytics looks at past data to understand what has already happened.

For example, a business can look at its sales records and see that sales increased by 20% last month. It helps us understand what happened in the past.

American Marketing Association

07 Diagnostic Analytics - Why did it happen?

Diagnostic Analytics looks at data to find out why something happened.

For example, if sales went down, the business can analyse the data to find out whether it was because of higher prices, fewer customers, or a lack of stock. It helps understand why something happened.

American Marketing Association

08 Predictive Analytics - What is likely to happen?

Predictive Analytics uses past and current data to predict what might happen in the future.

For example, a business can use previous sales data to predict that sales may increase during the December holidays. It helps us understand what is likely to happen in the future.

Google for Developers

09 Prescriptive Analytics - What should we do about it?

Prescriptive Analytics uses data to suggest the best actions to take based on what has happened or what is likely to happen.

For example, if sales are expected to increase, the business may be advised to order more stock and hire extra staff. It helps us decide what action we should take.

Harvard Business Review

10 Data Literacy - A Key 21st-Century Skill

American Marketing Association

Data Literacy means being able to understand, read, use, and communicate data correctly.

For example, you should be able to look at a graph or report, understand what the numbers mean, and use that information to make a good decision.

Data literacy is knowing how to understand and use data in everyday work and decision making.

02 Data, Measurement and Reporting

11 Structured Data - Rows columns

Structured Data is data that is organised in a clear format, usually in rows and columns, like a spreadsheet or database.

For example, a customer list can have columns for Name, Age, ~~Phone~~ Phone Number, and Address.

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Name	Age	Phone	Number	Address
Thandi	28	072 463681	42490	Soweto
Lenato	35	082691840	48930	Boksburg

Structured data is neatly organised data that is easy to store, search, and analyse.

12 Unstructured Data - Text, images, audio, video

Unstructured data is information that does not have a predefined data model or organizational structure, making it unable to fit neatly into traditional rows and columns.

Examples include WhatsApp messages, photos, videos, voice recordings, emails, and social media posts. Unstructured data is data that is not neatly organised in a table or spreadsheet.

13 Data Warehouse - central storage for analytics

Data Warehouse - Central Storage for Analysis

A Data Warehouse is a central place where a business stores data from different sources so it can be analysed and used for reporting.

For example, a company can store sales, customer, and financial data in data warehouse. A data warehouse is one central place for storing and analysing business data.

14 Data Mining - Discovering patterns

Data Mining is the process of looking through large amounts of data to find useful patterns, relationships, or trends.

For example, a shop may discover that customers who buy bread often also buy milk. Data mining means searching through data to discover useful patterns and information.

15 Data Visualization - Charts, Graphs, Infographics

Data Visualization means presenting data in a visual way, such as charts, graphs, and infographics, so that people can understand the information more easily.

For example, a business can use a bar chart to show which products sold the most. Data visualization helps us see and understand data quickly instead of only looking at numbers.

16 Dashboard - A live view of performance

A dashboard is a screen that shows important information and data in one place. It can help you monitor performance and see what is happening at a glance.

For example, a business dashboard can show sales, profit, customers, and expenses. A dashboard gives you a quick view of how things are performing.

17 Metric - Any measurable number

A metric is a number that can be measured and use to track something.

For example, Sales of R50,000, 200 customers, or 95% Customer satisfaction are all metrics. A metric is a number that helps you measure performance or progress.

18 Key Performance Indicator (KPI)

Key Performance Indicator (KPI) - A Metric That Drives Decisions.

A KPI is an important measurement used to check whether a business or person is reaching a specific goal.

For example, if a business wants to increase sales, monthly sales revenue can be a KPI.

19 Benchmark - A reference point for comparison

Benchmark - A reference Point for Comparison

A benchmark is a standard or target that you use to compare your performance.

For example, if a business usually aims for 100 sales per month, it can use 100 sales as a benchmark to see whether it is performing above or below its target.

A benchmark is a standard you compare your results.

20 Segmentation-Grouping customers by attributes.

Segmentation means dividing customers into different groups based on similar characteristics or behaviours.

For example, a business can group customers by age, location, buying habits, or interests.

Segmentation means putting similar customers into groups so the business can understand and serve better.

23 Customers and Sales KPIs

21. Conversion Rate - % of visitors who take action

Conversion Rate is the percentage of people who take a desired action, such as buying a product, signing up, or filling in a form.

For example, if 100 people visit a website and 10 make a purchase, the conversion rate is 10%.

In simple terms: It tells you how many visitors actually take the action you want them to take.

22 Customer Acquisition ^{cost} (CAC) - cost of gaining one new customer.

Customer Acquisition cost (CAC) is the average amount of money a business spends to get one new customer.

For example, if a business spends R1000.00 on advertising and gets 10 new customers, the CAC is R100 per customer. CAC tells you how much it costs to gain one new customer.

23 Customer Lifetime Value (CLV/LTV) - Total profit per customer over time

Customer Lifetime Value is the total amount of money a business expects to earn from a customer during the time they remain a customer.

For example, if a customer spends R500 every month for 2 years, the business can use this information to estimate the customer's lifetime value. CLV/LTV tells you how valuable a customer is to the business over time.

24 Churn Rate % customers who leave

Churn Rate is the percentage of customers who stop using a company's products or services during a specific period.

For example, if a business starts with 100 customers and 5 customers leave during the month, the Churn rate is 5%. Churn Rate tells you how many customers are leaving the business.

25. Customer Retention Rate - The opposite of Churn.

Customer Retention Rate is the percentage of customers who continue using a business's products or services over a specific period. It tells you how well a business keeps its customers.

For example if a business keeps 95 out of 100 customers, its retention rate is 95%. It tells you how well many a business keeps its customers.

26 Net Promoter Score (NPS) - Would your customers recommend you?

Net promoter Score (NPS) measures how likely customers are to recommend a business, product, or service to other people.

Customers are usually asked: How likely are you to recommend us to a friend or colleague? and give a score from 0 to 10. NPS shows how likely are you to recommend your business to others.

27. Average Order Value (AOV) - Revenue per transaction

Average Order Value (AOV) is the average amount of money a customer spends each time they make a purchase.

For example, if 10 customers spend a total of R5000 the AOV is R500 per order. AOV tells

AOV tells you how much customers spend on average per transaction.

28. Sales funnel - from awareness to purchase

Sales funnel shows the steps a customer goes through from first hearing about a business to actually buying something.

For example: Awareness - Interest - Consideration - Purchase.

A Sales funnel shows how a person goes from knowing about a business to becoming a customer.

29. Marketing Campaign - A coordinated marketing effort.

A Marketing Campaign is a planned set of activities used to promote a product, service, or business and reach a specific goal.

For example, a business may run a Campaign on Facebook, TikTok, and WhatsApp to attract new customers.

A marketing is a planned way of promoting a business to reach customers and achieve a goal.

30 Post - Campaign Analysis - Measuring what worked.

Post-Campaign Analysis is the process of looking at the results of a marketing campaign after it has finished to see what worked and what did not.

For example, a business can check how many people saw the advert, how many responded, and how many became customers.

It means checking the results after a campaign to learn what worked and what can be improved.

31 Incremental Revenue - Extra revenue caused by the Campaign.

Incremental Revenue is the additional money a business earns because of a specific marketing campaign or action.

For example, if a business normally makes R10,000 but make R13,000 after a campaign, the additional R3,000 is the incremental revenue.

In simple terms: It is the extra revenue generated because of the campaign.

32 Return on Investment (ROI) - The classic profitability test.

Return on Investment (ROI) measures how much profit you make compared to the money you invested.

For example, if you spend R1,000 on advertising and make R1,500 profit, your ROI shows whether what investment was worthwhile.

In simple terms: ROI tells you Was the money invested worth it?

Source: Investopedia

33 Return on Ad Spend (ROAS) - Revenue per advertising dollar.

ROAS measures how much revenue you earn for every amount of money spent on advertising.

Example: If you spend \$1000 on ads and generate \$5000 in sales, your ROAS is 5:1.

In simple terms: ROAS tells you how much money did my advertising bring back?

Source: Google Analytics

34 Click-Through Rate (CTR) - % of viewers who click.

CTR measures the percentage of people who see an advert or link and actually click on it.

Example: If 1,000 people see your ad and 50 click it, your CTR is 5%.

In simple terms: CTR tells you how many people clicked after seeing the ad?

Source: American Marketing Association.

35 Bounce Rate - % of visitors who leave quickly

Bounce Rate measures the percentage of visitors who leave a website without taking any further action.

Example: If 100 people visit your website and 40 leave without clicking anything, the bounce rate is 40%.

Bounce Rate tells you **How many visitors left without doing anything?**

Source: Google Analytics

36 A/B Testing - Comparing two versions.

A/B Testing means comparing two versions of something to see which one performs better.

Example: You create two versions of an advert, **A** and **B**, and show to different people. You then compare which one gets more clicks or sales.

Source: HubSpot

In simple terms: A/B testing asks **which version works better?**

Source: HubSpot

37 Lead Generation - Capturing potential customers

Lead Generation is the process of finding and collecting information from people who may be interested in your product or service.

Example: Someone fills in their name and phone number after seeing your cake advert.

In simple terms: Lead generation means finding people who might become customers.

Source: HubSpot

38 Marketing Attribution - which channel deserves the credit?

Marketing Attribution is the process of identifying which marketing channel or advert helped lead to customer making a purchase.

Example: A customer sees your TikTok advert, later visits your WhatsApp, and then places an order. Attribution helps identify ~~with~~ **which channel contributed to that sale?**

Source: Google Analytics

List of sources for my reference.

1. American Marketing Association (AMA)
 2. Harvard Business Review (HBR)
 3. McKinsey and Company
 4. Google Analytics/Google for developers
 5. HubSpot
 6. Investopedia
 7. Statista
 8. Textbook / learning material.
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